

Building a Development Model from Scratch

Compiled Notes for Proforma

Timing Assumptions

Base Model Assumptions

- Analysis start – 6/1/2019
- Design/Buyout starts 1 month after the Analysis Start
- Exit 6 months after construction completion

Meeting to Discuss Design/Buyout Process with Colleague Running a Similar Project

- Schematic Design – 3 months
- Design Development – 2 months
- Construction Documents – 5 months
- Initial Permit Process – 4 months
    - Start process 2 months after start of CDs
- GC and Trade procurement – Same end time as design process.
- Construction starts 1 month after Design/Buyout

Total Duration for Design/Buyout: __

Notes from discussion with GC over lunch

- Knows the site. Already put together a bid for another developer. Will send the preliminary bid over later today.
- Thinks 25-month construction duration is realistic.

Conversation with Tenant Broker

- Space is being taken up so fast by existing tenants in the market that they are now seeking out projects pre-construction. Last 4 project to deliver in the market were fully pre-leased.
- Latest scuttle is that both 300 S. Broad and 2335 Chestnut are already working on major lease negotiations for a majority of the space under construction.
- **Fooli is in the market for future large block office space to meet future growth. This site might be perfect and three blocks from their 55 Sansom build-to-suit project.**
- Pre-lease to single tenant is a strong reality, almost a guarantee in his mind.
- Assume single tenant pre-lease in proforma and that tenant occupies space in same month as construction completion.

Revenue / Operating Assumptions

(See OM for info not found here)

Office Tenant Lease Assumptions

- Lease duration is 10 years after commencement including the start month
- Starting Rent: Input the CBD average asking rent at present found in the OM[1]
- Annual base rent increase – 3%
- Reimbursement – 100%
- Free Rent – 6 months
- Tenant Improvements – $65
- Leasing Commissions – 2% of entire lease value. Do not deduct Concessions.

Parking Revenue

- $250/month
- Grown at 2.5%/year

Exit Assumptions

- Exit Cap – 4.5%
- Cost of Sales – 3%

[1] Note: In the OpProj tab, rent automatically starts at the anticipated future rate based on the 3% growth rate from today at rent start. See formula in row 17 on OpProj tab

Area Assumptions

Below is a list of common, but unique areas within a building that are included and excluded from rentable square footage that was given to you by your friend who works for a building measurement services company.

RSF	Non-RSF
Generator Plant	Floor Penetrations
Elevator Machine Rooms	Stairs
Supply/Exhaust Plenums	Shafts
Pump Rooms / Sump pit	Elevators
Water Tank	Parking
Fire Pump Room	Terraces*
Storage	Balconies*
Switch Gear Rooms	Cooling Towers
Security Offices	Air Intake
Fuel Storage	Transformer Vault
Battery Room	Elevator Pits

**May be included in some leases. For this case, we will exclude.*

Please use the Sixteen 17th SF Details pdf, the OM floor plans found in the War Room, and the table above to build out the area assumptions tab.

Additional Notes:

- *Any line item on a floor listed as MEP is considered rentable in the Sixteen 17th SF Details file.*
- *The BMU square footage on the roof should count as rentable.*
- *Service elevator lobbies include in BOH. All other lobbies include in office space.*
- *Any other items found in the Sixteen 17th SF Details file that is considered RSF not clearly categorized, include in MEP.*

Budget Assumptions

Land

- Start with matching the highest fully entitled comp in the comp set on a $/Buildable SF ($/GSF).
- Transfer tax = 2% of land value split between buyer and seller
- Other closing costs = 1% of land value

Entitlements

- Zero out as the project is entitled.

A&E

- Download the architectural fees pdf and input the appropriate architectural fee based on the percent of hard costs at a level 2 of complexity.
- Split costs 80% design and 20% construction monitoring

Construction costs from GC

- Hard costs: $425/GSF
- Soft Costs: $115/GSF

TIs

- Use Revenue / Operating Assumptions

Permits

- Assume 1.25% of hard costs
- 60% at Completion of Schematic Design and the remaining paid out 8 months thereafter.

Taxes

- 1.735% mill rate
- Due each March
- Calculated by multiplying the mill rate by land and all Construction line item costs up until the previous month (February).

Leasing & Marketing

- LCs - Use Revenue / Operating Assumptions
- Marketing: $2/RSF
    - Paid over whole construction period.

G&A

- 3.5% of Total Costs excluding Land, Taxes, TIs, Contingency and Financing

Contingency

- 5% of Total Costs excluding Land, G&A, and Financing

- Starts being disbursed 10 months prior to completion to completion (10-month duration ending at the same time as construction)

Financing Assumptions

- Debt
    - Rate: 250 basis points over 1-month USD LIBOR
    - Download the Chatham Forward Curve Excel document and use the LIBOR forecast to plug in to the Draw Schedule section of the MonthlyCF tab.
      (Excel Tip: Paste using Alt > H > V > T)
    - Ceiling – 6%
    - Floor 3.5%
- LTC
    - Start with 60% in the LTC control
    - Upon completion, recalibrate using Solver so that the True LTC is 60%
- Loan Fee
    - Set to zero before using Solver
    - After using Solver the first time, manually type in the loan fee so that it is ~1% by typing in the first seven digits in the Debt line; round to the nearest dollar.
    - Run Solver one more time
    - Again, manually type in the loan fee so that it is 1% of the Debt by typing in the first seven digits in the Debt line; round to the nearest dollar.